

Tutorial 3 – Netflix, IT/IS, and Competitive Advantage

Objective

To analyze how Netflix leverages IT/IS to gain competitive advantage using Porter's Five Forces and generic strategy frameworks, while cultivating students' strategic thinking and analytical skills.

Duration

1 – 1.5 hours

Activity Instructions

1. Watch Lecture Video (Prerequisite)

Students should confirm they have watched the Porter's Five Forces video segment from Lecture 3 on Canvas. If any of the students have not attended lecture 3, they should individually watch the video (titled: L3_Part-5_Porter_5) from Canvas as a prerequisite before the group discussion.

2. Read Article (15 minutes)

Students should read the article: [Netflix's Generic Strategy, Business Model & Intensive Growth Strategies](#). Students should focus on identifying Netflix's generic strategy and the role of IT/IS infrastructure — particularly in relation to content differentiation and customer experience — in preparation for the group discussion questions.

3. Group Discussion (30 minutes)

In groups of 4–5, discuss the following questions:

a. Porter's Five Forces: How does Netflix's IT/IS infrastructure impact each force?

- Threat of New Entrants
- Threat of Substitutes Products/Services
- Bargaining Power of Buyers
- Bargaining Power of Suppliers
- Rivalry among Existing Competitors

b. Evaluate Netflix's generic strategy, identifying how IT/IS enables differentiation through content and customer experience.

- Identify Netflix's Generic Strategy
- Explain How IT/IS Enables Content Differentiation
- Discuss the Role of IT/IS in Enhancing Customer Experience

4. Individual Submission (Post-Class)

1. Each student must individually submit answers to the questions in a **PDF file of no more than two pages**, named: T3_<full-name>.pdf(e.g., T3_xiaoming.pdf).
2. Students must submit their work **before the next tutorial** to receive the **full score**.
3. **Late submissions will receive only half the score. Submissions later than 2 weeks will not receive any score.**

Quick Reading Aid:

Background

Netflix began as a DVD rental service and evolved into a global streaming giant. Its success is not only about content but also about how it leverages technology to transform its business model. The reading highlights **Netflix's shift to an unlimited subscription model**, where users access content on-demand, powered by a robust digital infrastructure. This transformation reflects how digital platforms reshape customer engagement and scale operations efficiently.

Overview

The article outlines how **Netflix has built its competitive advantage through a combination of business model innovation and technology-driven strategy**. It highlights:

- **Unlimited subscription model** as the foundation of its digital business
- A **generic strategy of product differentiation**, focusing on exclusive content and superior user experience
- How Netflix uses **IT/IS tools such as cloud computing** to deliver value at scale
- Strategic choices that enable it to stay ahead of competitors and continuously adapt to changing market demands

Discovery of Issues

While the reading praises Netflix's strategy, it also reveals potential strategic tensions worth exploring:

- **Content dependency** – Netflix's differentiation relies on high investment in original content. Is this sustainable long-term?
- **Global competition** – Can Netflix maintain differentiation as competitors adopt similar models?
- **Platform fatigue** – With rising streaming options, how strong is customer loyalty?
- **Tech-driven experience** – Does heavy reliance on algorithms risk reducing user trust or content diversity?

These tensions reflect how a firm's IT-enabled strategy may also create new vulnerabilities.